

LMB pitch deck

The court is complete and both sides landed in the same place, so this is a straight writing task from the record — no new checks needed. Here is the deck.

PITCH — LMB — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION): REJECT — do not buy Limbach at \$45.54; the margin break is company-specific and still unfolding, and no entry price is proposed until one of four reopen conditions fires.

What we believe

Limbach Holdings (building mechanical/electrical contractor, ticker LMB) has fallen about 65% from its high and sits ~3.5% above its 52-week low. The original idea was that this crash overshoots: that the gross-margin collapse mostly reflects the lower-margin Pioneer Power acquisition mixing into the numbers (an effect that lapses after July 1, 2026), plus a large shareholder's exit temporarily weighing on the stock.

After both of our internal review teams worked the evidence, we no longer believe that. We now believe the margin break is Limbach-specific execution and bid-underwriting failure, for three reasons drawn from primary filings:

- 1. Management's own guidance contradicts the "acquisition mix will roll off" story.** In the August 4 second-quarter release, the company *cut* full-year adjusted EBITDA guidance from \$90–94M to \$78–84M while *raising* revenue guidance from \$730–760M to \$760–790M — and that cut applies to a second half that is entirely past the acquisition anniversary and explicitly excludes the newly bought CYMCOR business. More revenue with meaningfully less profit means management itself expects no mix rescue. Management also said Pioneer's margins will take "two to three years" to reach company average. Source:
<https://www.sec.gov/Archives/edgar/data/1606163/000162828026052611/a20260630ex991pr.htm>
- 2. Direct competitors printed the opposite result in the same quarter.** Comfort Systems — the closest mechanical-contracting peer, bidding the same data-center labor markets — expanded gross margin from 23.5% to 25.9% and raised guidance. EMCOR's gross margin also ticked up. Limbach's compressed ~650 basis points. This is not industry-wide cost inflation.
- 3. Even the "good" segment is going backwards in dollars.** Owner-direct gross profit fell to \$30.8M from \$31.6M in Q2 (and \$53.7M from \$57.8M for the half) despite revenue growing 15–18%. Growth is arriving with negative incremental profit.

Adjusted EPS fell 31% year over year (\$0.64 vs \$0.93) on 22% revenue growth. That is a real earnings decline, not a quirk of expectations.

What the market believes

The market has already repriced this as a broken story: \$45.54 against a \$128.57 high, with the bulk of the decline coming *after* the August 4 earnings report — i.e., in response to public information. Capital Group, which held 7.1% of the company, sold its entire stake to zero before that report; notably, the stock absorbed that supply roughly flat and then fell ~40% on the earnings themselves, which tells you the decline is fundamental repricing, not selling pressure. The stock trades around 7x expected EBITDA, which looks cheap against the peer group — but that multiple sits on a guidance number management has already cut once and on margins still falling.

Why we might have edge

Honestly: not much, and the deck should say so. The original pitch claimed its edge was that “no outside party can currently decompose acquisition mix from structural margin decline.” The review process showed that test has effectively already run — the peers reported, and the answer went against us. What little residual edge exists:

- **The Pioneer allocation fork.** The 10-Q reports Pioneer’s \$54.5M revenue contribution only at the total-company level, not by segment. Nobody outside the company can compute Pioneer’s standalone margin, so nobody can yet *prove* how much of the legacy business decayed. A future disclosure could resolve this in either direction — that is a genuine informational catalyst we are positioned to read fast.
- **A specific, pre-committed re-test.** We know exactly what would distinguish “industry problem” from “Limbach problem” at the next round of reports (Comfort Systems’ and EMCOR’s Q3 mechanical margins), and most observers won’t run that comparison systematically.

Why it might be priced in

Almost everything here is public and already reacted to: the guidance cut, the peer outperformance, the earnings decline, and the shareholder exit are all in filings and press releases, and the stock fell ~40% on the report. The name has sell-side coverage; consensus already reflects the bear case. Cheapness on a multiple is not edge when the denominator is still falling — 7x EBITDA is an anchor, not a floor. That is precisely why the verdict is reject rather than “buy the dip.”

What we checked ourselves

Claim	How checked	Found	Confirmed?
Comfort Systems expanded margins in the same quarter LMB broke	Peer Q2 investor materials, both teams independently	Gross margin 25.9% vs 23.5% prior year; mechanical segment 25.6% (+270bp); guidance raised	YES — fatal to the thesis
EMCOR margins also expanded	EMCOR 8-K exhibit, re-pulled from SEC	Consolidated gross margin 19.8% (+40bp). Our own first-pass team erred here: it claimed a “record mechanical margin of 12.5%” — in fact US Mechanical operating margin <i>fell</i>	YES, with correction

Claim	How checked	Found	Confirmed?
		from 13.6% to 12.5%. Corrected on review; the error was not load-bearing (a 110bp peer dip cannot explain a 650bp Limbach break)	
Guidance cut disproves the “mix anniversaries July 1” rescue	LMB Q2 press release, verbatim	EBITDA guide cut while revenue raised; cut applies to post-anniversary H2 and excludes CYMCOR; Pioneer drag persists “two to three years” per management	YES — fatal
Mix arithmetic: legacy margin can’t be intact	10-Q segment note, recomputed by both teams	If legacy owner-direct margin were still 29%, Pioneer’s implied margin is ~6% — implausible for a \$66.6M purchase. Second reviewer <i>strengthened</i> this: Pioneer revenue is unallocated by segment, and under plausible splits the “legacy is fine” branch becomes arithmetically impossible	YES — every branch is bearish
Adjusted EPS “\$0.64 twice” showed an expectations whipsaw	LMB Q2 press release	Our original framing was wrong: the sequential \$0.64-vs-\$0.64 comparison was the artifact. The honest axis is year-over-year: \$0.64 vs \$0.93, down 31%	YES, reframed against us
Capital Group exit was an overhang now cleared (bullish)	Two 13G/A filings, re-pulled from SEC (https://www.sec.gov/Archives/edgar/data/1623026/000112/primary_doc.xml)	823,702 shares → 0 by June 30. Direction was wrong in the original pitch: the 66% completion before the earnings report, was absorbed flat, and the stock fell 40% afterward — so the decline is repricing, not flow	YES, cuts bearish
Owner-direct profit dollars declining	10-Q (https://www.sec.gov/Archives/edgar/data/1623026/000112/primary_doc.xml)	Q2 gross profit \$30.8M vs \$31.6M, H1 \$33.2M vs \$34.8M, both 48% revenue growth. Found only on second review — first team missed it	YES
Evidence pack quarterly data	Cross-checked against filings	The pack’s machine-pulled quarterly table contained no 2026 quarters (latest was June 2025); superseded with filed 10-Q figures. Pack’s sector tag (“consumer discretionary”) also wrong — this is a construction contractor	Pack errors, corrected
Current live tradeable price	Attempted via our broker connection, twice	Permission denied in this session both times. The \$45.54 mark is Yahoo-sourced and must be re-verified before any order	NO — open gap

PROPOSED ENTRY BANDS

No entry at any price today. Both review teams landed at reject with no position, and per our discipline a deteriorating-business rejection does not get a “cheap enough” price trigger — price alone cannot reopen this. Instead, the case reopens only on evidence, at these bands:

Reopen conditions (any one suffices to re-run the case): 1. **Disclosure resolving the mix fork favorably:** Pioneer standalone gross margin shown to be $\geq 18\%$ *while* legacy owner-direct margin

holds $\geq 27\%$. This would rehabilitate the “core is intact” arithmetic. 2. **A clean organic quarter:** Q3 owner-direct gross margin $\geq 26\%$ excluding CYMCOR contribution. 3. **The industry re-test flips:** Comfort Systems and EMCOR show mechanical-margin *compression* in their Q3 reports (expected late October, dates unconfirmed) — this would reclassify Limbach’s problem from company-specific to industry-wide. 4. **Insiders vote with cash:** material open-market insider buying at these levels (routine equity-plan activity does not count; the June filings were routine).

Key date: Limbach’s Q3 report, estimated **November 3, 2026** — this is a data-vendor estimate, not company-confirmed; treat it as unconfirmed until a press release or 8-K names it.

Sizing: zero now. If a reopen condition fires and a fresh review clears it, sizing gets set then — nothing is pre-authorized by this deck.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- filing watch: 10-Q,8-K until 2027-02-11 (deck-provisional: Q3 print is the re-test: clean organic owner-direct margin ex-CYMCOR and any Pioneer segment-margin di)
- dated pack LMB|2026-11-03: LMB: LMB Q3 2026 report (vendor-derived date, no company PR confirms) (date confirmed=False)

What remains unverified

- **The live price.** Broker verification was permission-denied in both review sessions; \$45.54 is a Yahoo mark. Re-verify before any order, ever.
- **Pioneer’s standalone gross margin.** The central fork. The 10-Q does not allocate Pioneer’s revenue by segment, so “value-destroying acquisition” vs “eroding legacy core” cannot yet be separated — both branches are bearish, but the mix matters for any future reopen.
- **The Q3 report date.** November 3, 2026 is derived from a data vendor; no company announcement names it.
- **Whether the doubled backlog in the low-margin segment (\$200.1M of general-contractor work, currently earning ~14.5% gross margin) converts at that margin or worse** — a forward risk, not yet observable.
- **Peer Q3 outcomes** — the industry-vs-company classification rests on one quarter of peer prints and should be re-confirmed in October.

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